

Our network also permits us to investigate the reputations of local businesspeople. Before investing in a company, we want to have at least a dozen good reference checks on a management that we do not already know well. A question we often ask locals is, “If you had to invest your family’s money in five companies for the next decade, and valuation was not a consideration, in which companies would you invest?” Instead of pitching stocks they think would work best in the short term, locals’ answer to this question tends to be focused on the quality and integrity of the management.

We spend weeks, months, or longer in a country before we first commit any capital there. We would rather miss an opportunity than make a major mistake. In the case of Vietnam, we visited the country seven times before we invested. We made six trips to Greece over a two-month period to find investments, while also spending time in Germany meeting policy makers and politicians to underwrite the risk of a Greek default. One of our partners lived in Korea for a month in the early 2000s and spent another month in Thailand following its 2006 military coup. We continue to visit countries such as Great Britain, Germany, India, and Brazil at least twice per year, even when we are not active, to maintain our contacts and to search out new opportunities.

WHY NOW?

As we focus on finding pockets of undervaluation, we always stop to ask ourselves why a security has become undervalued. What caused a reasonable shareholder to sell the security, and why should we be buying instead? We never start with the assumption that the sellers are wrong; instead, we want to understand their rationale. We also attempt to translate macroeconomic developments into our bottom-up company analysis. In an economic crisis, for example, when a currency is weak and interest rates are high, we want to examine how these forces will impact the specific securities and companies we are